

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION FOR NON-NSN AND LSN ACQUISITIONS

1. Agency: Defense Logistics Agency Contracting Activity: DLA Aviation - VICA
 Document Identification Number: PR# 23-13-1305, EBS #7008374382 Solicitation Number: SPE4A8-25-Q-0012
☐ FAR Part 15 ☐ FAR Part 12 ☒ FAR Part 13.5

2. The action being approved is the acquisition of supplies/services on other than a full and open competition for Non-NSN and LSN acquisitions.

☒ New Action ☐ Amendment: _____

3. The supplies/services required to meet the using activity's needs are described as follows:

BRIEF DESCRIPTION	P/N / LSN	QUANTITY	ESTIMATED VALUE
HAAS EC-1600ZT Horizontal Machining Center	(3408) Commercial Item - HAAS EC-1600ZT	1	
Machine Tool Accessories, IUID Tag, and Shipping			

DETAILED DESCRIPTION

DLA Aviation (VICA) has a sole source requirement for One (1) HAAS EC-1600ZT Horizontal Machining Center to include Machine Tool Accessories, IUID Tag, and Shipping at the Naval Surface Warfare Center Dahlgren Division, Dahlgren, Virginia 22448. All completed work shall be in accordance with technical specification VIBB 24-13-1305 dated June 14, 2024, and subject to the terms and conditions of the contract. The Naval Surface Warfare Center, Dahlgren Division, Test & Evaluation Division – Test Engineering Branch (E42) are looking to expand their current capabilities in providing Engineering Prototype (EP) Fabrication support services. The HAAS EC-1600ZT is a high-performance machining center that provides flexibility and less setup in fabricating these prototype parts and is compatible with the HAAS machinery that is currently being used within the Engineering and Prototype Machine Shop. With the HAAS EC-1600ZT it would dramatically reduce the burden to network personnel and increases network security and operational readiness.

4. The statutory authority permitting other than full and open competition is 10 U.S.C. 3204(a)(1) – Available from only one or limited number of sources.

5. The acquisition is restricted to the only source(s) of supply known to have the capability of furnishing the required supplies/ services. Source(s) are:

CAGE	COMPANY NAME
3MPQ0	Phillips Corporation Federal Division

The use of authority 10 U.S.C. 3204(a)(1) is based on:

Implementation of 10 U.S.C. 2304(c)(1); FAR 6.302-1(a)(2)(ii)(A), supplies may be deemed to be available from the original source in the case of a follow-on contract for highly specialized equipment when it is likely an award to any other source would result in substantial duplication of cost to the Government that is not expected to be recovered through competition, and FAR 6.302-1(a)(2)(ii)(B), unacceptable delays in fulfilling the agency's requirements. The Naval Surface Warfare Center, Dahlgren Division, Test & Evaluation Division – Test Engineering Branch (E42), currently uses multiple HAAS machines that are all compatible with one another and which can only be obtained from Phillips Corporation Federal Division (3MPQ0) who is the sole and exclusive distributor of HAAS CNC Machine Tools. The E42 Department is responsible for fabricating parts and prototype components for weapon systems under test and evaluation field. These weapon systems programs are: 5" gun, 57mm gun, Hypervelocity Gun Weapon Systems, High Energy Laser Systems, Battle Management Systems, Directed Energy Weapon Systems, the Navy Standard Missile, and the MK39 Gun Weapon System. The E42 Department has a requirement for One (1) HAAS EC-1600ZT Horizontal Machining Center. The HAAS EC-1600ZT is compatible with the current HAAS machines being utilized within the Engineering and Prototype Shop. The E42 Staff are fully trained on the use of this specific Horizontal Machining Center and have found the HAAS machinery to produce consistent, high-quality parts that meet rigorous testing requirements. Without the HAAS EC-1600ZT Horizontal Machining Center the E42 Department will lack the capability to respond rapidly to growing customer needs and risk delaying product solutions to the Fleet.

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

- ☒ The acquisition will be synopsized on or about October 7, 2024 and any firm requesting a solicitation copy will be provided one.
- ☐ A synopsis exception cited in FAR 5.202 applies: (Explain)



Manufacturers of similar products identified in the market survey will be solicited.

Dealers of the manufacturers will be solicited.

Other: (Explain)

Sources sought posted in SAM.gov on August 15, 2024 with a closing date of August 26, 2023. Two (2) vendors responded to the sources sought with intent to quote: Phillips Federal Corporation (3MPQ0) a small business and DMG Mori (96XT6) a large business. No additional vendor responses. Phillips Federal Corporation was found technically acceptable and able to provide the requested HAAS EC-1600ZT Horizontal Machining Center which is compatible with current equipment within the E42 Engineering and Prototype Shop. DMG Mori's technical information provided did not show they can fulfill the needs of the government. The Machines proposed do not meet the following requirements: table capacity was a minimum 10,000 lbs. DMG Mori's table maximum was 9,900 lbs., spindle speed minimum requirement was 10,000 rpm and DMG Mori's machine had a maximum of 3,000 rpm, and the rapid feed rate requirement was a minimum 600 IPM in which DMG Mori's machine could only reach 472.44 IPM.

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable. (Explain)

Review of historically awarded contracts with prices found fair and reasonable. Other than certified cost and price data will be required, commercial invoices will be required. In accordance with FAR 13.106-3(a); Basis for award. Before making award, the Contracting Officer will determine that the proposed price for this Acquisition will be fair and reasonable.

8. A market survey as defined by FAR 10:



was conducted, and firms indicating an interest in the acquisition will be solicited. Market research efforts, include:

Sources Sought was published to SAM.gov. Internet research, reviewing previous contract history, and the requirement will be synopsized on SAM.gov with the anticipated solicitation opening date. However, HAAS has provided an authorized dealer letter stating Phillips Corporation is the exclusive supplier of HAAS machines in the territory considered North America.



was not conducted due to the unusual and compelling urgency of the requirement.

was not conducted due to:

9. Additional facts supporting other than full and open competition are:



Based upon the technical certification on file, technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.



When FAR 6.302-1 is cited for substantial duplication of costs in the case of a follow-on acquisition as described in 6.302-1(a)(2)(ii)(A), an estimate of the cost to the Government that would be duplicated and how the estimate was derived:

The Naval Surface Warfare Center, Dahlgren Division, Test & Evaluation Division (Testing Engineering Branch E42) is procuring one (1) HAAS EC-1600ZT Horizontal Machining Center to expand current capabilities in fabricating parts and prototype components for weapons systems under test and evaluation for field use. Procuring a Horizontal Machining Center from another manufacturer would result in additional expenses that would exceed more than another Horizontal Machining Center from any other company other than HAAS would require the re-designing of the CNC Programming for parts which is currently being used within the other HAAS Equipment in the E42 Engineering and Prototype shop, require extensive testing to validate the machine can withstand the rigorous testing requirements, re-training all the E42 Departments Staff on the how to operate and maintain the new equipment, and require the staff to conduct research and testing to develop new operating and maintenance procedures. The additional cost was calculated as follows:
 - 3D models, software programs, and post processors for the entire shop are configured to the HAAS Controller and programming architecture. Not acquiring the HAAS EC-1600ZT will require a full re-development, re-coding, and re-deployment to all the existing machining programs.
 - The 25 machinist staff are already fully trained and are experts in operating, maintaining, and troubleshooting HAAS Equipment. Not procuring the HAAS EC-1600ZT will require the staff to receive additional training on non-HAAS machinery. Eighteen of the 25 machinist staff (72%) have undergone a certification through a HAAS institution prior to his/her employment at NSWC Dahlgren. The E42 department specifically recruits at the HAAS institution to bring in new employees that are already at an expert level using the HAAS machinery.
 o A non-monetary factor of not procuring the EC-1600ZT is a lack of expertise in our staff when issues with the machine arise. While this cannot be cost quantified, it will slow the timeline in delivering prototypes through the R&D portion of the Dahlgren installation.



When FAR 6.302-1 is cited for unacceptable delays in the case of a follow-on acquisition as described in 6.302-1(a)(2)(ii)(B), describe the unacceptable delays:

The use of the HAAS EC-1600ZT Horizontal Machining Center is to integrate and standardize machine(s) and interfacing required to ensure there are no unacceptable delays in meeting the fleet/government's needs. The HAAS machines that are currently being used by the E42 Staff have already proven efficient in keeping up with the Fleets demand for fabricating parts and prototype components for the weapon systems under test and evaluation field. Procurement of the HAAS EC-1600ZT would prevent the E42 Staff the extra expense of re-designing a new CNC program for parts, re-testing the machine to format it to the required program, re-training E42 Staff on how to operate and maintain a non-HAAS machine. The 3D models and software programs used are interchangeable with the proposed HAAS EC-1600ZT Horizontal Machining Center.



Other:

HAAS machines are warranted by the manufacturer for material and workmanship issues. Additionally, out of warranty repairs still carry a warranty if the repairs are completed by a HAAS Certified Technician. Purchasing the Horizontal Machine Center from a different manufacture would require the facility to train all employees to use and maintain multiple systems as well as stocking spare/replacement parts for each machine resulting in additional expense and downtime. The E42 Staff are already trained on using HAAS equipment. Phillips Corporation is the only authorized Government dealer for HAAS and is the only available source as HAAS will not quote directly.

10. A listing of sources, if any, indicating an interest in writing in the acquisition are: (if none, state none)

CAGE	COMPANY NAME
3MPQ0	Phillips Corporation Federal Division
96XT6	DMG Mori Federal Services

11. The actions, being taken to overcome barriers to competition before any subsequent acquisition are made: (Explain)

This item is commercial in nature and industry is free to develop competing systems, which if developed and submitted, will be evaluated for acceptability. Market research was performed through internet searches and obtaining a market research quote. This market research has found that HAAS is the Original Equipment Manufacturer of the required HAAS EC-1600ZT Horizontal Machining Center. Market research has also show that this specific brand name product is commercially available from authorized re-sellers. Market research be ongoing and completed prior to subsequent acquisitions. Industry is free to make modification and re-engineering efforts to existing models that may provide competitive acquisition on future requirements however, presently these offerings would adversely affect cost, lead time, and present unacceptable delay. Before any subsequent acquisition can be made the requirement will be publicized and posted for maximum competition.

APPROVAL

APPROVAL LEVELS OF THE JUSTIFICATION – FAR 6.304

- ☒ not exceeding \$750,000... Contracting Officer
☐ over \$750,000 not exceeding \$15,000,000... Competition Advocate

TECHNICAL/REQUIREMENTS PERSONNEL CERTIFICATION – FAR 6.302-2(c)

Supporting data that is the responsibility of technical or requirements personnel and which form the basis for this justification have been certified as complete and accurate by the cognizant technical/requirements Personnel. Signature of technical/requirements personnel is not required.

DLA COUNSEL AVIATION – DLAD 1.691(e)(ii)

DLA Counsel Aviation has reviewed the information contained in this justification and concluded it is legally sufficient.

Sarah Clarkson, Assistant Counsel, Contracts	CLARSON.SARAH.R AMAGE	Digitally signed by CLARSON.SARAH.RAMAGE Date: 2024.10.08 07:48:53 -04'00'		10/8/24
Name and Title	Signature		Phone	Date

CONTRACTING OFFICER – FAR 6.303-2(b)(12)

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

Patrick Hansen, Contracting Officer	HANSEN.PATRICK .JOHN	Digitally signed by HANSEN.PATRICK.JOHN Date: 2024.10.08 12:14:27 -04'00'		10/8/2024
Name and Title	Signature		Phone	Date

COMPETITION ADVOCATE – FAR 6.304(a)(2)

The Competition Advocate for the procuring activity designated pursuant to FAR 6.501 has reviewed and approved this Justification for a proposed contract over \$750,000 but not exceeding \$15 million.

Name and Title	Signature	Phone	Date